GMS WEEKLY

Your Source for Recycling News

December 13th, 2024
Week 50
Volume 267, Issue 1164

Highlights:

- **Deals done.**
- **Supply increasing.**
- **Tariff time?**
- **Steely hopes.**
- **HKC upgrades.**
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QUOTE of the WEEK

"The essence of strategy is choosing what not to do."

– Michael Porter

-- MARKET COMMENTARY --

POSITIVE END?

On the back of news surrounding impending sanctions against Russia & Iran coupled with OPEC's decision to curtail oil production last week, the markets saw a tightening of oil supplies amidst rising fuel demand, which in turn saw WTI crude oil fixtures surge by about 1.8% by Friday, settling at a firmer USD 71.30 / barrel and marking its highest since early November. As Western nations contemplate the imposition of further sanctions on Russian & Iranian exports / dark fleet tankers, logistics in the wet sector are expected to take a hit in the coming weeks, driving tanker rates higher and further depriving the ship recycling sector of units. In the interim, the Baltic Exchange's main sea freight index eased for the fourth straight session this Friday, falling close to 0.5%, its lowest since July 2023. This has certainly assisted the ship recycling sector with the supply of tonnage of late, fueling its survival into early 2025.

As we stand on the edge of the final weeks of 2024, compared to the rest of the year, it certainly seems as though there has been more of an uptick in the markets of late, in addition to a far more positive conclusion for ship the recycling sector in the Indian sub-continent, as news of fixtures on the back of firming levels has kept recyclers busy taking deliveries at the various waterfronts over recent weeks. Though the markets are not quite there to breach the coveted USD 500/LDT mark just yet, they have come out of a Q2 – Q3 and even early Q4, when recycling levels were at their lowest this year. Moreover, and pragmatically, rather than attempting to break the next high-priced fixture in the market, ship owners (especially) and even cash buyers need to historically reflect on the fact that these are still very strong prices today.

Meanwhile, unlike the unfolding chess moves from the tanker sector, supply from other sectors is expected to remain steady / likely improve into 2025 and despite trading markets performing impressively as they drive the global fleet to its highest average age it has ever been, increasing newbuild constructions in 2025 should phase out older units faster and ensure a steadier recycling supply. Additionally, despite China's stimulus announcements promising stronger measures for its economy, Capesize bulkers managed to lose ground even further and all eyes will now be peeled on the Trump's incoming tariffs that will manifest once he takes office from January 20th, including the tariffs he intends to impose on China, in particular.

In the interim, as global economies continue to find stable footing, the U.S. Dollar strengthens across the recycling board, all whilst local steel plate prices in both China and (consequently) India saw their levels decline in unison this week, further exemplifying the unending problem of cheaper steel being dumped into sub-continent markets, which has seriously afflicted sub-continent steel prices for a majority of the year and despite punitive tariffs being in place. As recycling yards in Bangladesh & (especially) Pakistan remain in limbo, focus should now be on upgrading facilities by June of next year, in time to accede to the Hong Kong Convention. And with most yards in India already compliant, it falls squarely upon regional competitors to undertake improvements, or risk missing out on recycling tonnage entirely. At the far end, Turkey, with all of its legal framework in place for the safe recycling of ships, continues to struggle for tonnage under the weight of its own compulsions. 2025 is gearing up to start with a whimper than the traditional bang.

BANGLADESH

DARK FLEETS.

Questionable.

As a growing number of large LDT vessels start making the rounds for a recycling sale – many of questionable background and legitimacy are now coming forth as a few purported dark fleet units are also trying to escape an end-of life-frenzy whilst trying to find a final resting place on the sands, as news of incoming sanctions from the West against Russian and Iranian (oil) exports surfaced this week. Although some might successfully find a place at a recycling yard worldwide, these issues will increasingly persist under the pressures of unfolding global crises.

In Bangladesh, the number of open and financially capable buyers who have the appetite, available yard space, and limits with their respective banks, remains fewer than a handful and most are therefore incapable of opening large U.S. Dollar value L/Cs on some of the larger LDT units on offer, even whilst indications for these dark fleet units will understandably remain far below market levels.

Lacking finance.

Keeping matters under constant pressure is also the ever-pervading state of the domestic economy, which, although on the mend of late, is far from performing at even acceptable levels. And understandably so as even this week, local steel plate prices (like Pakistan's) have fallen back to sleeping on the floor and that too at an overall dishevelled level of USD 521/Ton, further cementing the current ceiling for local offers in the coming weeks. Even the Bangladeshi Taka continues to suffer as it loses another 5 basis points this week, closing out at BDT 119.98 against the U.S. Dollar. Like the Pakistani Rupee / economy, the lack of available U.S. Dollars has severely constricted its overall trading within the Bangladeshi economy, resulting in a Taka that though severely diminished this year, finally seems to have found stable footing between BSD 119 – BDT 120.

Coming back.

Economically as well, domestic construction projects are yet to take off the ground and the overall momentum of steel trade has still to get it's gears in mesh, which will likely not happen until 2025 at the very least, simply based on the direction of steel plate prices, still unravelling demand for steel (and consequently ship's steel), despite overall demand & pricing for ships starting to rear its head once again and Chittagong chop shops optimistically, yet cautiously, approach 2025.

Local port position too has been supporting the evidence of this unfolding optimism as another 43K LDT of total recycling tonnage, including a large LDT Gas Carrier, announces their arrival at the waterfront this week, marking an ongoing and unrelenting fight against declaring a bankrupt port position, unlike the sad traffic patterns at Gadani's waterfront over the last couple of months.

NO MARKET SALES REPORTED

INDIA

RESURGENT TIME.

Picking up tonnage.

As with Chattogram, Alang's ship recycling sector has welcomed a version of its own resurgence in the final moments of the year and likely into early 2025 as well, as news of even more deals being successfully concluded to Alang ship recyclers as a result of the firming offers – including specialist stainless steel units, containers, oil rigs, tankers, fishing vessels, and HKC only India vessels – have started to increasingly surface over successive recent weeks.

HKC ready.

The fact that nearly all recycling yards in Alang essentially have their HKC certification in order, will immensely help India maintain pole-position on a global ship recycling level, to safely absorb much of the world's environmentally conscious recycling tonnage when it comes for sale in the years ahead, as the Hong Kong Convention finally enters into force from the middle of next year and Bangladeshi and (especially) Pakistani recyclers are not only in the process of still gathering recipes to upgrade their facilities, but they also remain far from receiving any SoC approvals from IACS class-societies thereafter.

Even domestically, India remains the most financially secure destination for global ship recycling on account of a comparatively larger (than other ship recycling destinations worldwide) availability of U.S. Dollar reserves, further bolstering India's financial stability in a sector that is heavily dependent on it. Moreover, as trade with the U.S. is about to breach a unique milestone and break a record USD 77.5 Billion in 2024, it marks an overall 10.3% rise over the last 30 years of India's trade with the country.

Keen to buy.

Notwithstanding the economic stability, key fundamentals driving local mindsets remain shaky as ever amidst a Rupee that has now seen the better part of Rs. 84 throughout the week, even as it spikes to hit a record Rs. 84.99 against the U.S. Dollar and finally end the week an overall 14 basis points weaker at Rs. 84.80. Local steel plate prices weren't seemingly supportive of the prevailing mindset either and although shaky, managed to end the week at just USD 1/MT below last week, easily chalking it down to market movements.

As the Indian ship recycling sector continues to surf the wakes of a relatively optimistic economy and much in contrast to this week's local port position – where a healthy collection of units from rigs to reefers are awaiting deliveries – the future supply of tonnage **may** see hiccups amidst unfolding global tensions, rising average ages of the world's overall fleets, and the persisting slowdown in the output of newbuildings, all of which would be the final nails in the coffin for ship recyclers worldwide. And the fact that it was only this past January where levels were at USD 600/LDT for containers and today stand almost lower USD 150/LDT, the industry is certainly eager to see global economies firm again to where levels at or above USD 500/Ton become the norm.

NO MARKET SALES REPORTED

PAKISTAN

SAD REFLECTION!

Not easy going.

It certainly has not been easygoing for Pakistan's ship recycling sector this year and second only to 2023, where only 16 vessels were delivered to local recyclers throughout the year, 2024 looks on track to be the second slowest year for the ship recycling in Gadani over the last decade. Logically, supply has also been at its lowest over the same period, but the present can simply not be the reason behind Gadani's ongoing performance, especially as neighboring India and (especially) Bangladesh continue to dominate the bidding tables and market rankings of late.

The ever-tailing Indian offers mindset aside, Pakistan has been beset with financial / liquidity issues and an unfolding lack of overall confidence in the state of the domestic economy, which has eventually filtered down to perpetually nervy end buyers who have seen their plots lie mostly dormant for a majority of 2024. As inflation continues to create hurdles amidst stalled discussions on IMF's incoming loan, which itself continues to be delayed on account of pending investigations, the Paksitani government has continually curtailed expenses towards non-essential industries for the time being, including ship recycling, as the country hopes for the incoming bailout package to ease ongoing economic constraints.

Liquidity issues.

As a result of the lack of availability of U.S. Dollars, the Pakistani Rupee, though ending the week only 2 basis points weaker at PKR 278 against the Dollar, certainly rollercoaster-ed its way to this point through the course of the week. Psychologically hurting the local mindset even further are collapsed steel plate prices, which, despite being the highest of all of the major ship recycling nations, is the least traded of all as it continues to flatline at a comparatively stronger USD 654/Ton – nearly USD 200/Ton **higher** than those from neighboring India and amidst cheaper imports, further highlighting just how weak domestic demand for steel currently is.

HKC failures.

With the HKC coming into force a mere 6 months away and Gadani ship recycling yard owners still buying the recipe books for the 'green' efforts needed towards upgrading their respective recycling yards, 2025 may end up being just as bad, if not worse for Gadani, especially once the convention comes into force and yards owners will be compelled to make investments in order to continue operation, or shut shop by the time 2026 comes around.

NO MARKET SALES REPORTED

TURKEY

AFLOAT…BARELY!

TRY 35?

As the Lira's decline against the U.S. Dollar continues uncontested, declining 37 basis points and ending the week at another historic TRY 34.91, import steel plate prices corrected / improved about USD 12/Ton, matching local steel plate prices, which themselves remain constricting low. As local offers stable after declining nearly USD 30/MT over recent weeks, the new lows are going to raise the bar for Aliaga buyers to snag their share of tonnage even more, especially in the face of sub-continent levels that are firming / on the rise again.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 50 of 2024, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Stable**	470 / LDT	490 / LDT	500 / LDT
2	India	**Stable**	460 / LDT	480 / LDT	490 / LDT
3	Pakistan	**Stable**	450 / LDT	470 / LDT	480 / LDT
4	Turkey	**Weak**	310 / LDT	320 / LDT	330 / LDT

MORE AWESOMENESS.

- *A hummingbird beats its wings between 20 and 80 times a second. It can fly vertically up or down, hover in front of a flower, and even fly backward.*
- *Whether an olive is black or green has nothing to do with its variety; it depends on when it is harvested.*
- *The Trans-Canada Highway is the longest national highway in the world, at 7,821 km.*
- *The longest conflict in history was the Hundred Years' War, fought between France and England. It actually lasted*
- *116 years, from 1337 to 1453.*
- *Colds and flus are caused by viruses, not the severity of the temperature outside.*
- *-40°C is exactly the same temperature as -40°F. It is the only point at which the Celsius and Fahrenheit scales*
- *intersect.*
- *A dog's sense of smell is between 10,000 and millions of times as sensitive as that of humans.*
- *Mount Everest is the world's highest peak, at 8,848 meters.*
- *Recycling is one part of the waste management strategy known as the "3 Rs": reduce, re-use, recycle.*
- *Plastic packaging takes between 100 and 1,000 years to degrade. Plastic bags take 100 to 400 years, and*
- *aluminum cans, 100 to 500 years.*
- *If a starfish is cut into pieces, each piece can survive and grow into a new starfish.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
December 24 – December 26 – Christmas Holidays December 31 – New Year's Eve	December 12 – December 20 December 29 – January 06 January 11 – January 18

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
December 16 – Victory Day December 25 – Christmas Day December 31 – Bank Holiday	December 14 – December 17 January 02 – January 05 January 15 – January 18

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays until 2025	December 25 – Quaid-e-Azam Day December 26 – Day after Christmas	**No holidays until 2025**

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ALANG - Port Position as of December 13, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	A Star	14,856	Drilling Rig	Arrived November 30
2	**Bereg Mechty (Under Tow/Arrested)**	**7,263**	**Reefer**	**Arrived August 26**
3	Boss 7	4,713	General Cargo	Arrived December 01
4	MSC Augusta	8,800	Container	Arrived August 09
5	*New Sky*	*2,410*	*Reefer*	*Delivered December 12*
6	*Seagrand*	*3,593*	*General Cargo*	*Delivered December 12*
7	Tanto	4,218	Container	Arrived August 08
Total Tonnage		**45,853**		

CHATTOGRAM - Port Position as of December 13, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Armada Sejati*	*3,321*	*Container*	*Delivered December 12*
2	Asia 10	2,413	General Cargo	Arrived December 12
3	Coral (Under Tow)	30,193	Gas Carrier	Arrived December 10
4	*Fatma Sari*	*8,008*	*Bulk Carrier*	*Delivered December 12*
Total Tonnage		**43,936**		

GADANI - Port Position as of December 13, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported		
Total Tonnage		**-**		

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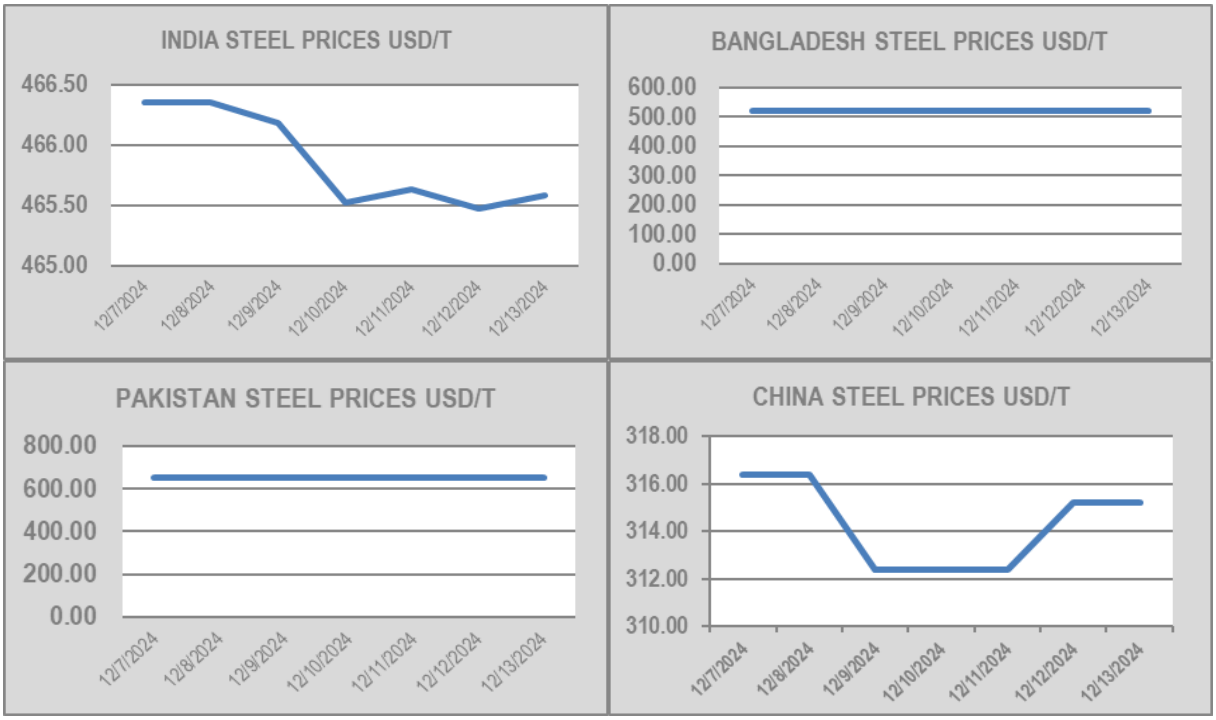
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
12/7/2024	466.35	39,500.00	654.21	182,000.00	521.01	62,000.00	316.38
12/8/2024	466.35	39,500.00	654.21	182,000.00	521.01	62,000.00	316.38
12/9/2024	466.19	39,500.00	654.21	182,000.00	521.01	62,000.00	312.37
12/10/2024	465.53	39,500.00	654.21	182,000.00	521.01	62,000.00	312.37
12/11/2024	465.64	39,500.00	654.21	182,000.00	521.01	62,000.00	312.37
12/12/2024	465.47	39,500.00	654.21	182,000.00	521.01	62,000.00	315.22
12/13/2024	465.58	39,500.00	654.21	182,000.00	521.01	62,000.00	315.22



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